MGT 211 LECTURE: 41 TO 46

Digital Business

Syeda Aneeqa Touseef

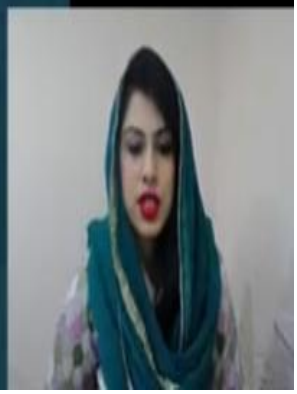
(Introduction to business)

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Module 1

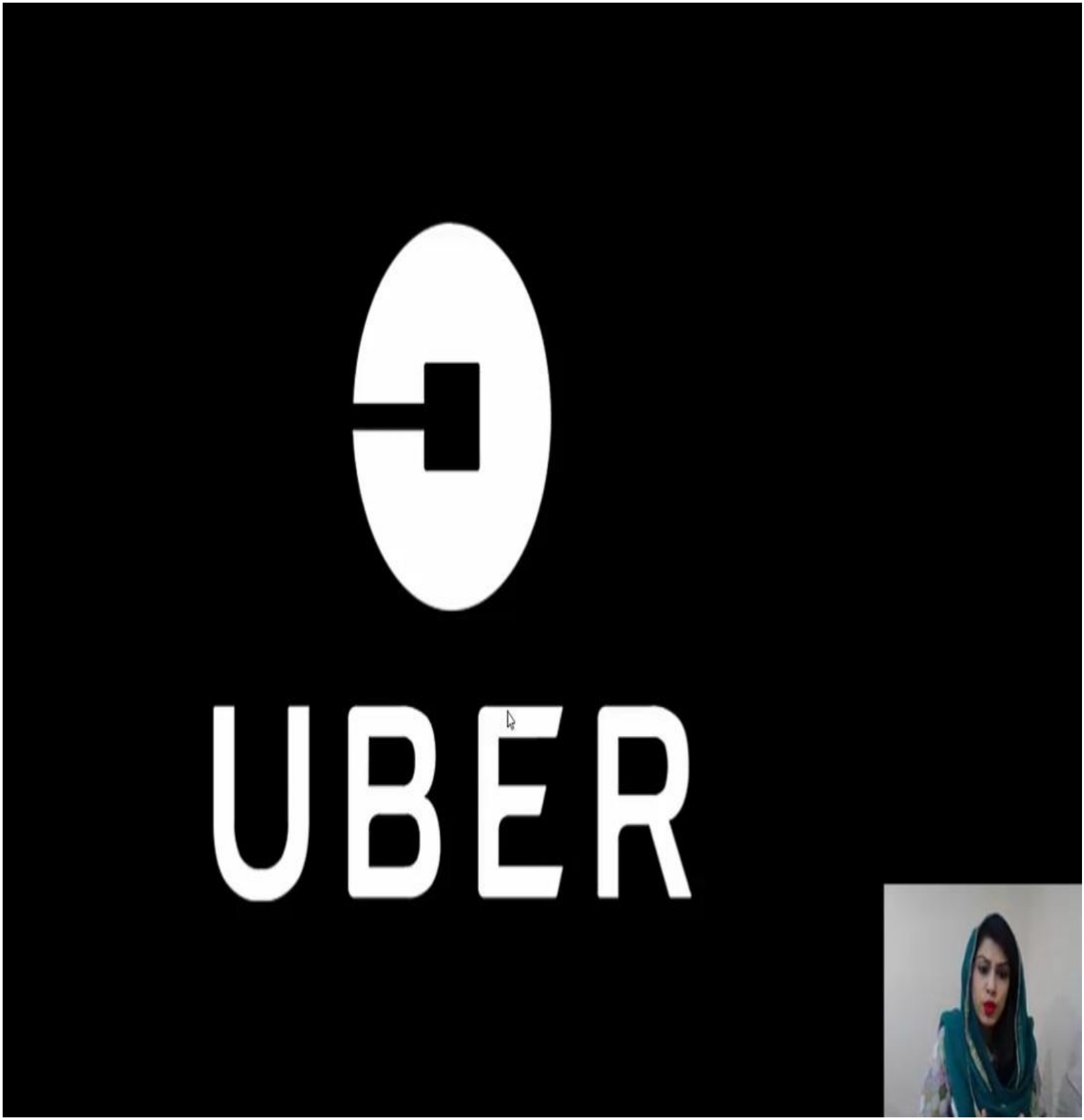
- Traditional business vs. Digital business
- Why Digital Business Matters.
- What happens when digital business strategy is not clearly defined?
- Six key steps to build a successful digital business.



- **Business** can be defined as an entity involved in purchase and sale of goods and services in order to make profit.
- **Digital business** can be stated as a business having no physical existence and being involved in sale and purchase of goods or services in order to make profit basically with the use of technology or web.




OLX


UBER

Traditional vs. digital business:

Traditional	Digital
Base of Foundation	
Required Initial amount to start business is very high Usually high loans with markups are taken which require a lot afterwards to return Example: Any manufacturing factory	Not Required Can be started with minimal capital at hand Example: OLX(Just bandwidth)



Traditional vs. digital business:

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Traditional	Digital
Workplace 	
Office required Can be leased Can be rented	No office required Are usually operated from web or from cellphones Can be started from home
	



Traditional	Digital
Outsourcing	
Employees required Must come physically to office	Employees can work from anywhere around the globe Sometimes no employee is required just a software and web related system can manage things





Traditional	Digital
Inventory and equipment	
Required All inventory and equipment is available offline and has to be managed accordingly	Not required Online so not required to manage inventory or equipment





Traditional	Digital
Cost	
High (Due to all factors mentioned above)	Low Get paid immediately







Traditional	Digital
Time 	
All day Cannot engage in other activities	Saves time(Online) Can be operated as a side business or part time







Traditional	Digital
Emergency	
Hard to replace (Due to heavy installation of machinery and equipment)	Replaceable(Online)
	



Traditional	Digital
Customer Reach	
Location Hours	24/7










11 9354 2009



So, Digital business is important to use because:

- Such great of technology.






• Globally competitive markets: Businesses that are available in just one region have global competitors available.
VU
Virtual University

- New opportunities are available.




• Speed of implementation
amazon
web services™

- We are becoming a "WE" economy where there is unlimited collaboration between manufacturers and customers.






What is digital business strategy?


Facebook
Instagram
Social Referral
Twitter
Email Referral
You Tube
Pinterest
Google Plus
Search Engine Marketing
SEO & Content
Blog
Reviews
Affiliate
Online Retarget
Online Display Ads
Digital Business Strategy

What happens when digital business strategy is not clearly defined?

- Missed opportunities
- Inappropriate direction
- Limited integration of digital business at a technical level.
- Resource wastage




Revenue
TECHNOLOGY


Six key steps to build a successful digital business


3 roles (not titles)
The digital strategist
The digital marketing leader
The digital business unit leader
STEP 1
Create the Right Mindset and Shared Understanding
STEP 2
Put the Right Leaders in Place
STEP 3
Launch a Digital Business Center of Excellence
STEP 4
Formulate digital Strategy to Respond to Opportunities and Threats
STEP 5
Find, Develop & Acquire Digital Business Skills + Roles
STEP 6
Create New Digital Business Capabilities
Six Key Steps to Build a Successful Digital Business
(Gartner)
5 elements to address:
New Digitally Enabled Bu
Models
The Product and Service
Information as an Asset
Technology
Content, Media and Cha
http://www.gartner.com/newsroom/id/2745517

Step 1: Create the Right Mindset and Shared Understanding

- New business models can be created.
- "Digital moments" continue to evolve. (Digital moments according to Gartner are the short term opportunities that are fully used in order to create and expand business.)



Step 2: Put the Right Leaders in Place

- Three types of business roles have emerged
  - The digital strategist
  - The digital marketing leader
  - The digital business unit leader

- There can be one CDO (Chief Digital officer) in the organization who can be responsible for all three or any of the above mentioned roles.



Step 3: Launch a Digital Business Center of Excellence

- To provide input, advice and opportunities for the collaborative formation of a digital strategy.
- Strengths, weaknesses, opportunities and threats are examined first then people are engaged from throughout organization and from outside the organization as well.



Step 4: Formulate a Digital Strategy to Respond to Opportunities and Threats

1. New Digitally Enabled Business Models
2. The Product and Service Portfolio
3. Information as an Asset
4. Technology
5. Content, Media and Channels



Step 5: Find, Develop and Acquire Digital Business Skills and Roles

- According to Gartner's 2014 survey, 42 percent of 2,339 CIOs from 77 countries surveyed said their IT organization did not have the right skills and capabilities in place to meet upcoming digital business challenges.



Step 6: Create New Digital Business Capabilities

- Traditional ways to recruitment seem insufficient.
- Digital business capabilities can be acquired by applying digital business and digital technologies to the distribution of work and look at piloting new channels.





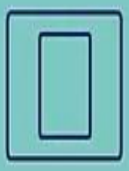
Module 2

- The digital forces reshaping business and society
- Digital Transformation of Business
- Digital Five Forces



The digital forces reshaping business and society









- Start ups adopt the new technological applications speedily.
- Leading companies focus on two complementary activities:
  - Reshaping customer value proposition.



  - Transforming operations for greater customer interaction.



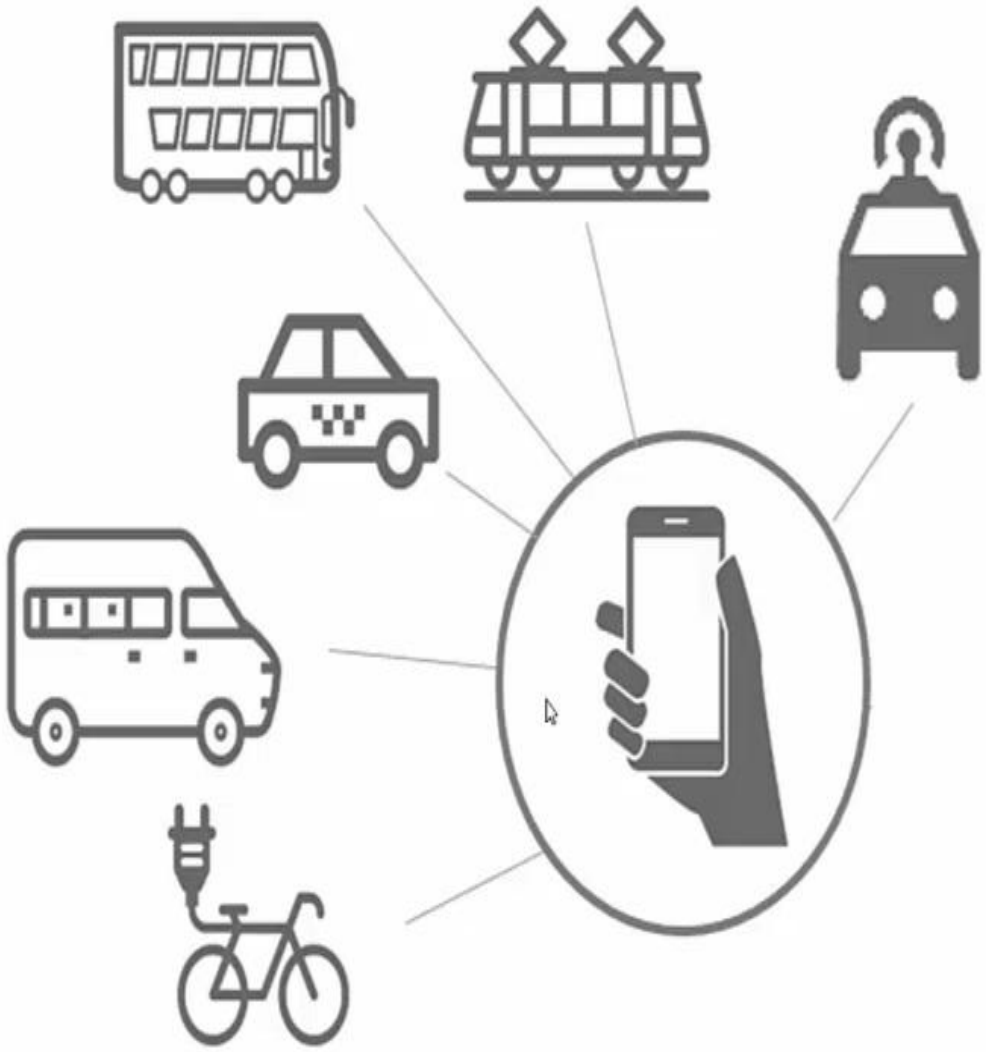


Digital Five Forces

1. Mobility
2. Big data
3. Social Media
4. Cloud
5. AI/Robotics



Mobility



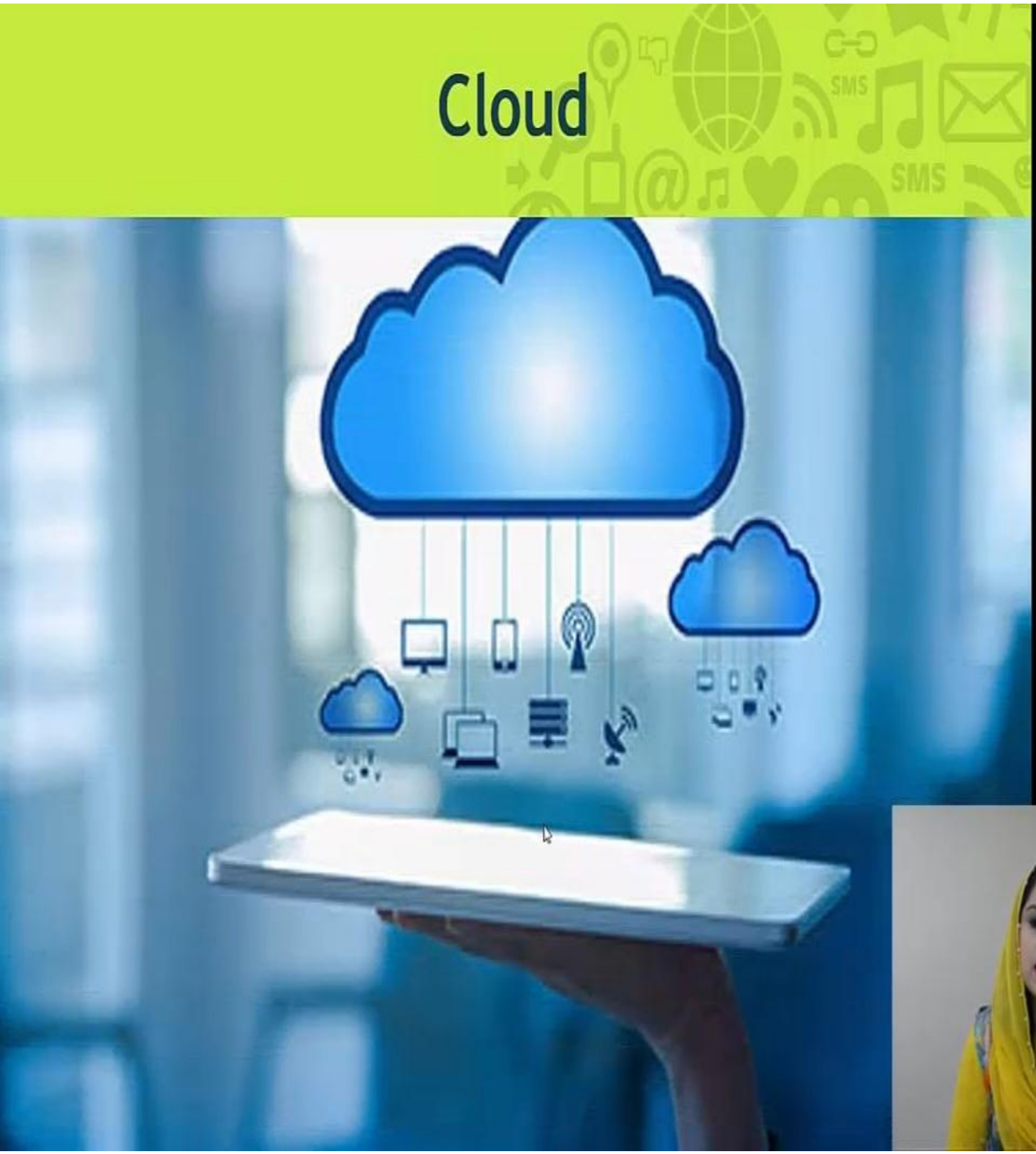


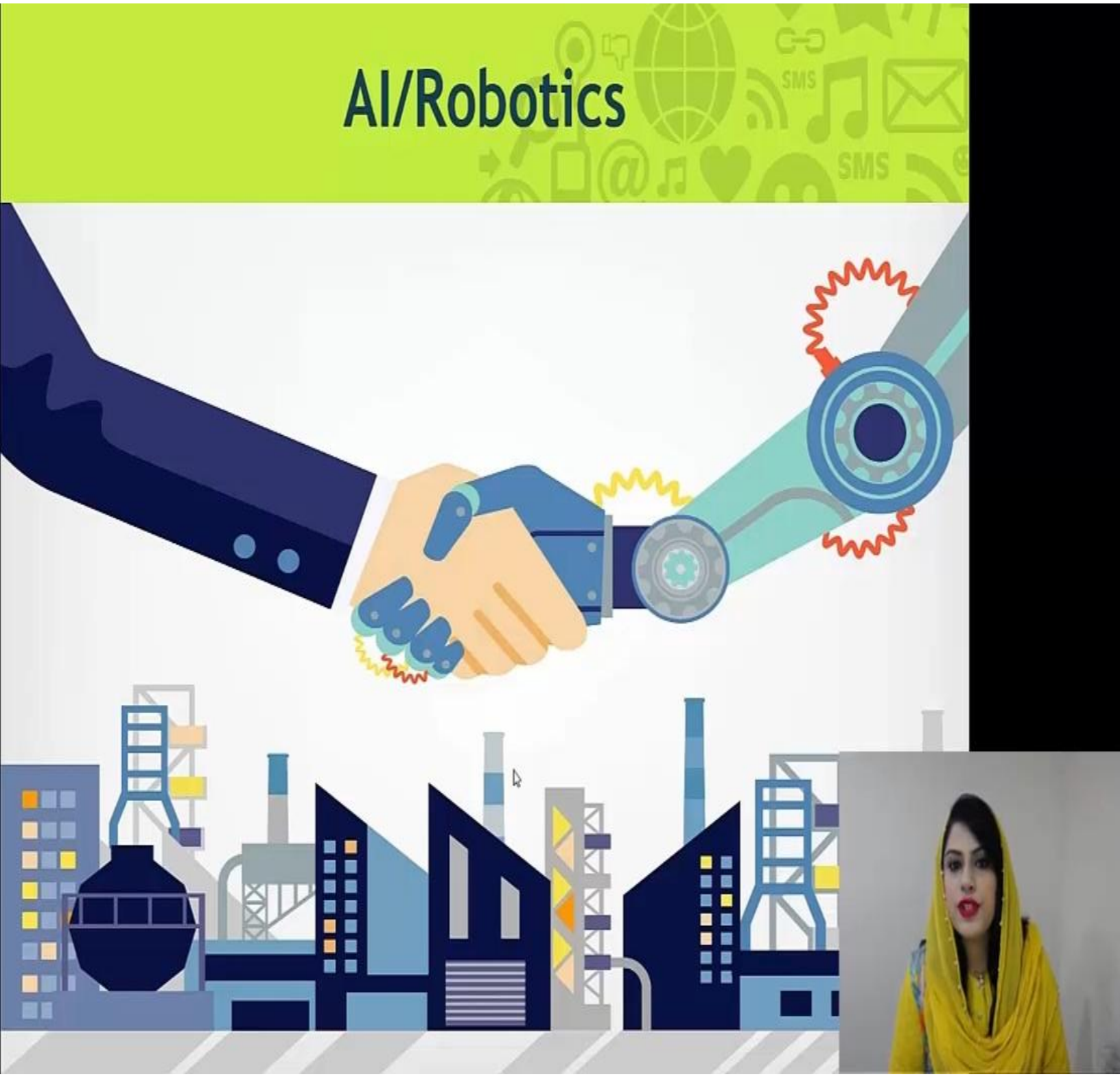

Big data
SMS
SMS

Social Media






Cloud

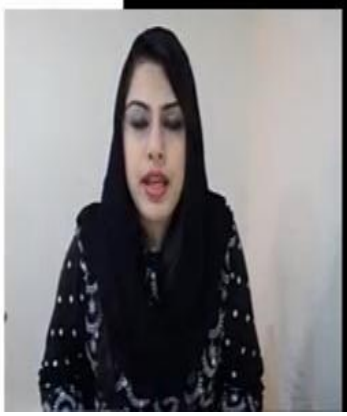

AI/Robotics

اب چالان آپکے گھر آے گا




Digital marketing
Web based advertisments
Mobile Marketing


DIGITAL MARKETING
BRANDING
SOCIAL MEDIA
SEM
APP DEVELOPMENT
WEB DESIGN
EMAIL MARKETING
CONTENT MARKETING
SEO
VIDEO PRODUCTION



Examples of web based advertisements (NICK GIBSON, 2014)

- Pre-Roll Video Ads





Banner/Display Ads





Adwords Search Ads

Top 10 Credit Cards (UK) - Compare Best UK Credit Cards
Ad www.compareandsave.com/Credit-Cards
Find the Right Credit Card for you.
compareandsave.com has 227 followers on Google+
Instant Decision Cards - Best 0% Purchases Cards - 0% Balance Transfers

The Best Credit Cards? - MoneySupermarket.com
Ad www.moneysupermarket.com/Credit-Cards
4.9 ★★★★★ rating for moneysupermarket.com
32 Months 0% Balances 18 Purchases! Apply Online @ MoneySupermarket.com
Voted 'Most Popular Comparison Website' 2013 – Website Of The Year
MoneySuperMarket has 1,306 followers on Google+
0% Balance Transfers - Lowest APR Credit Cards - Credit Cards With Rewards

Apply for a Vanquis Card - vanquis.co.uk
Ad www.vanquis.co.uk/credit-apply
92% of customers would recommend Vanquis to a friend. Apply Now!
Credit Card Provider of the Year 2014 finalist – Credit Today
Vanquis has 926 followers on Google+
Improve Credit Score - Quick & Easy Application - 24/7 Fraud Watch - Build Credit



Related Content Ads



Jonah Hill Lost A Bet To Channing Tatum, Refuses To Pay The X-Rated Debt

When 21 Jump Street was released a few years ago, co-stars Channing Tatum and Jonah Hill made a friendly bet about what the opening weekend revenue amount would be. Channing said box office numbers would come in over $35mil, while Hill thought it...

Publishing Partner
brobible.com



41 Camping Hacks That Are Borderline Genius



50 Things That Look Just Like Your Childhood



27 Shocking And Unexpected Facts You Learn In...



Social Media Ads

Royal View Resort

agoda.com



Ideally located in the prime touristic area of Pratunam, Royal View Resort promise...

Get Better Hosting Now

asmallorange.com



Shared, VPS, Cloud or Dedicated Hosting Packages Starting at $2.92/mo



Video Overlay Ads





Contextual Ads





Retargeting Ads





Flash Ads





Mobile Ads


AT&T 3G
9:42 PM
ESPN Mobile Web
Done
ESPN MLB
Menu
CLE
0
Mid 6th
MIN
3
JIM BEAM
THE BOURBON
SINCE 1795
Jim Beam® Kentucky Straight Bourbon Whiskey, 40% Alc/Vol.
©2010 James B. Beam Distilling Co., Clermont, KY
drink smart
For this game: Alerts



AdMob Ads



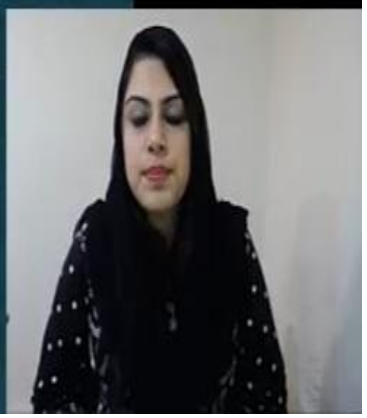
Email Ads


Teavana <shop@e.teavana.com>
11:36 AM (2 hours ago)
to me
Everyone's talking about Summer's hottest tea collection
Can't see the images? Click here.
TEAVANA®
SHOP TEA
TEA BLENDS
TEA PRODUCTS
CAST IRON
SUGAR & HONEY
A taste of SUMMER
Our Exotic Iced Tea Gift Set offers the best of the season, all in one refreshing collection.



Advantages of Web based advertisements (Arlette Measures)

- Quick promotion of product information without geographical boundary limits.
- Web advertising can expand awareness of your company and encompass an entirely new set of potential customers.
- If your business has a limited marketing budget, web advertising offers several free or low-cost means of marketing.



- Although the internet can sometimes seem like a very impersonal place, it can also afford opportunities for developing a more personal relationship with your current and potential customers.



Disadvantages

- Some methods of web advertising can prove costly in terms of time and money. Organic search engine marketing, for example, can easily consume hours of your time researching keywords and building backlinks.
- Disturbing and invading privacy.




Finance in the Digital World
SMS


Simpler
Smarter
Secure


Data
Cash
Automated Systems
Payment Plans
Mobile data
Planning and forecasting

Closing a ledger account

Cash sales a/c

Mar 31	P&L Summary	60,000	Mar 31	Cash at bank	60,000

Credit sales a/c

Mar 31	P&L Summary	10,000	Mar 31	Debtors	10,000

Cost of sales a/c

Mar 31	Stock control	35,000	Mar 31	P&L Summary	35,000

Wages a/c

Mar 31	Cash at bank	15,000	Mar 31	P&L Summary	15,000

Advertising a/c

Mar 31	Cash at bank	5,000	Mar 31	P&L Summary	5,000



Manufacturing and Operations





Manufacturing and Operations





Digital HRM

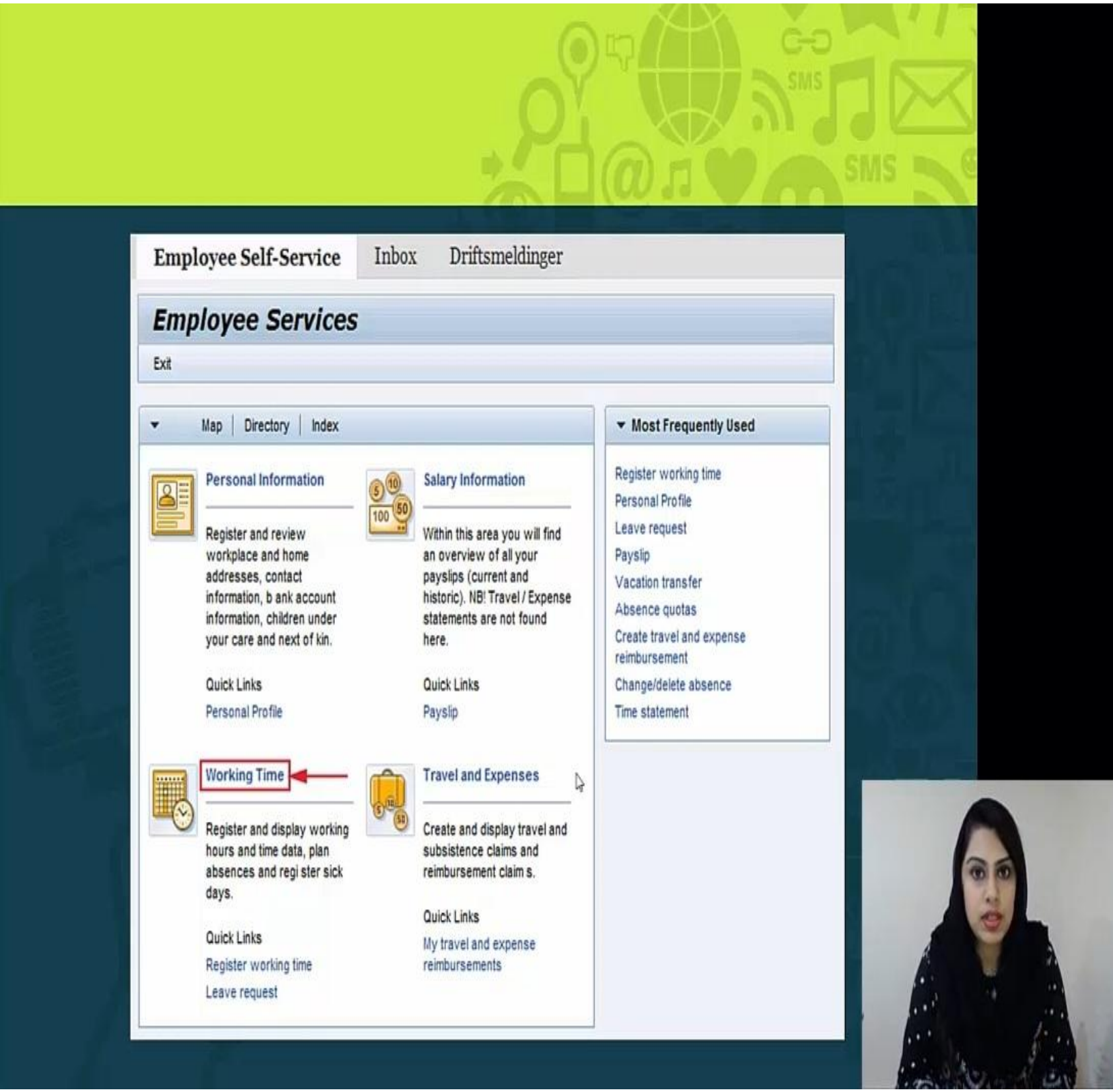

BOOKKEEPING SERVICES
-Accounts Payable
-Accounts Receivable
-Bank Credit Card Reconciliations
Flexible rates starting at $18 per hour.
CAREERS
GENERAL HELP WANTED
Seeking someone for general help, eg, filing, organizing, errands, answering emails. Must know how to type. $10 per hour to start
WEEKEND RECEPTION
NEW AD
GENERAL MANAGER
SERVICES
GARDEN MAINTENANCE
STUDENT LOANS
MORTGAGE EXPERT



Talent acquisition is automated






Employee Self-Service
Inbox
Driftsmeldinger
Employee Services
Exit
Map
Directory
Index
Personal Information
Register and review workplace and home addresses, contact information, b ank account information, children under your care and next of kin.
Quick Links
Personal Profile
Salary Information
Within this area you will find an overview of all your payslips (current and historic). NB! Travel / Expense statements are not found here.
Quick Links
Payslip
Working Time
Register and display working hours and time data, plan absences and regi ster sick days.
Quick Links
Register working time
Leave request
Travel and Expenses
Create and display travel and subsistence claims and reimbursement claim s.
Quick Links
My travel and expense reimbursements
Most Frequently Used
Register working time
Personal Profile
Leave request
Payslip
Vacation transfer
Absence quotas
Create travel and expense reimbursement
Change/delete absence
Time statement

- New Job Requirements
- Trainings required
- Managing digital Era people-related risks and legal issues, including social media engagement, protection of intellectual property, privacy and confidentiality.
- Payroll




Challenges
Mobile Commerce
Opportunities
SMS
SMS


Customer expectations
SMS


OMNI
CHANNEL
Website
Brick &
Mortar Stores
Tablet/Mobile
Catalogs
Order from Anywhere
Call Center
SALE
Flash Sales
Fullfill from Anywhere
Retail DC(s)
eCommerce
DC(s)
Outlet Locations
Brick & Mortar Stores

Big Data

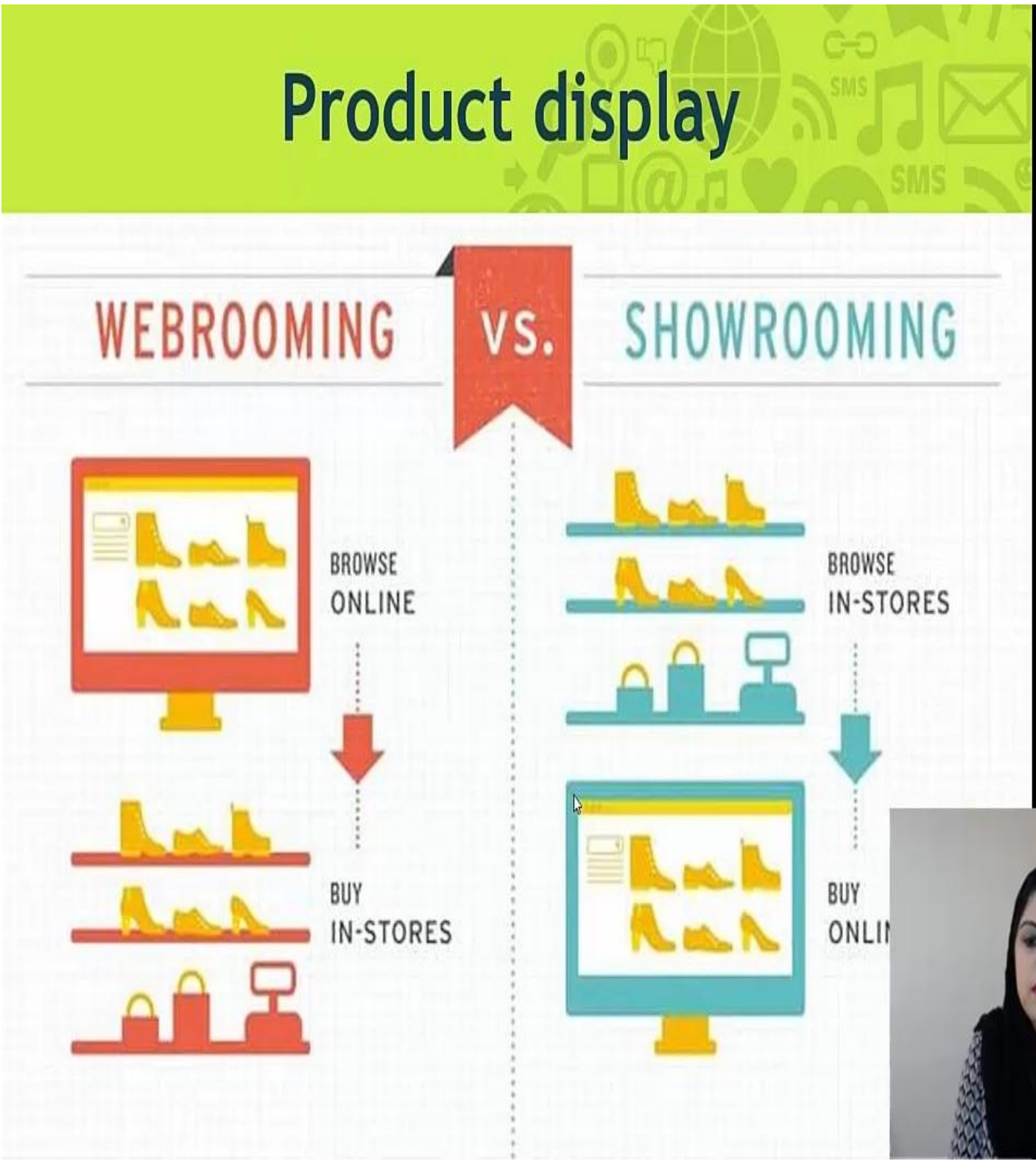


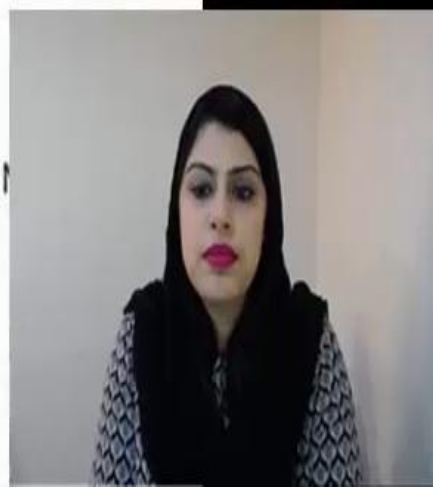
Digital disruption from within





Product display

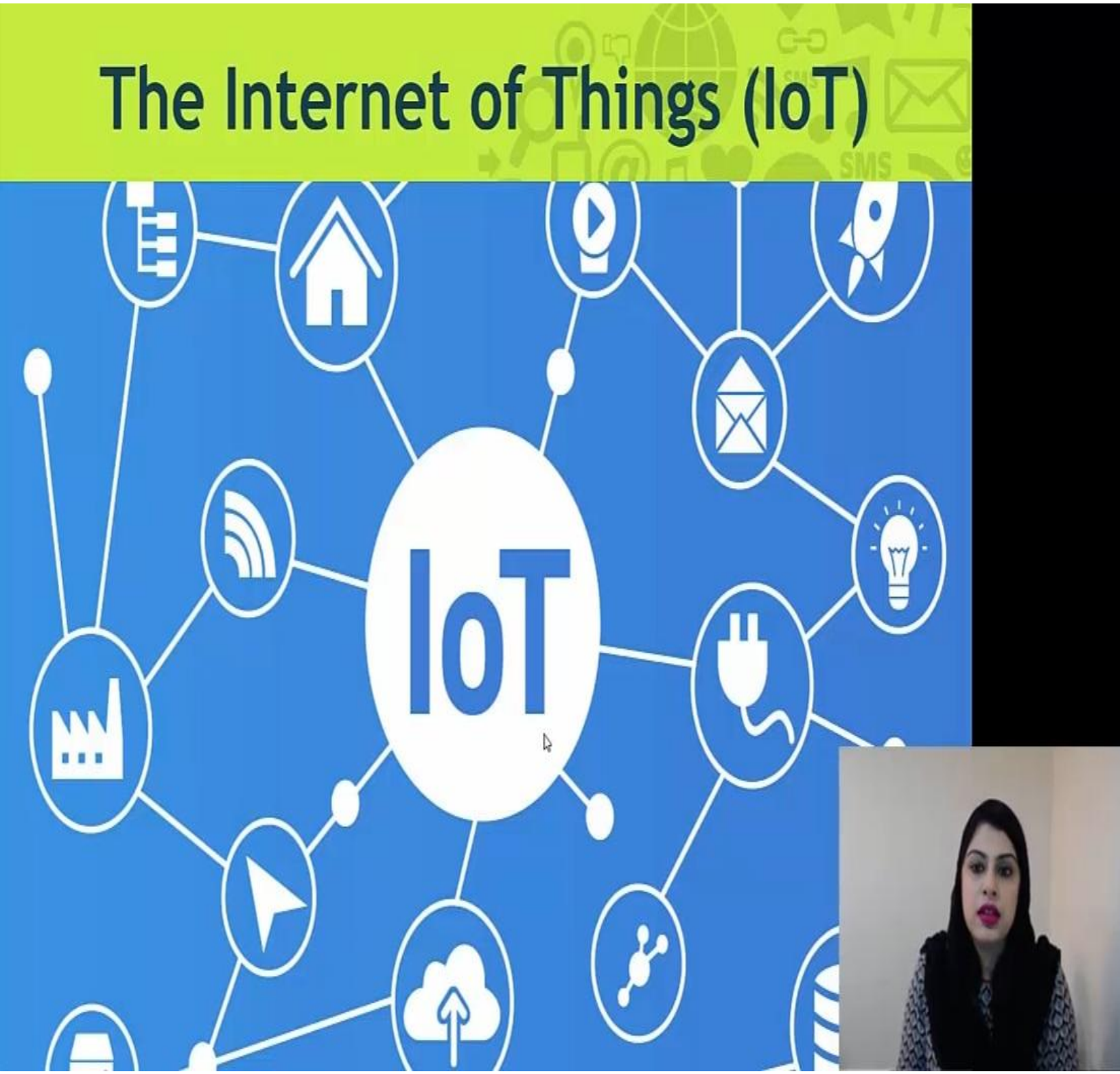




Digital workforces






The Internet of Things (IoT)
IoT

Micro moments

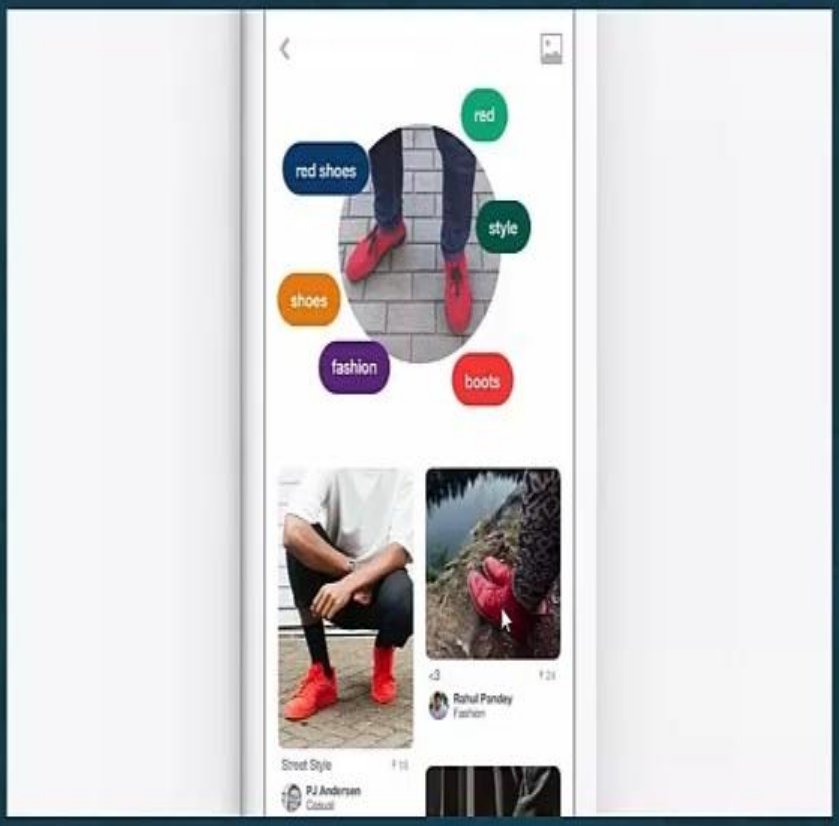


↑500%+

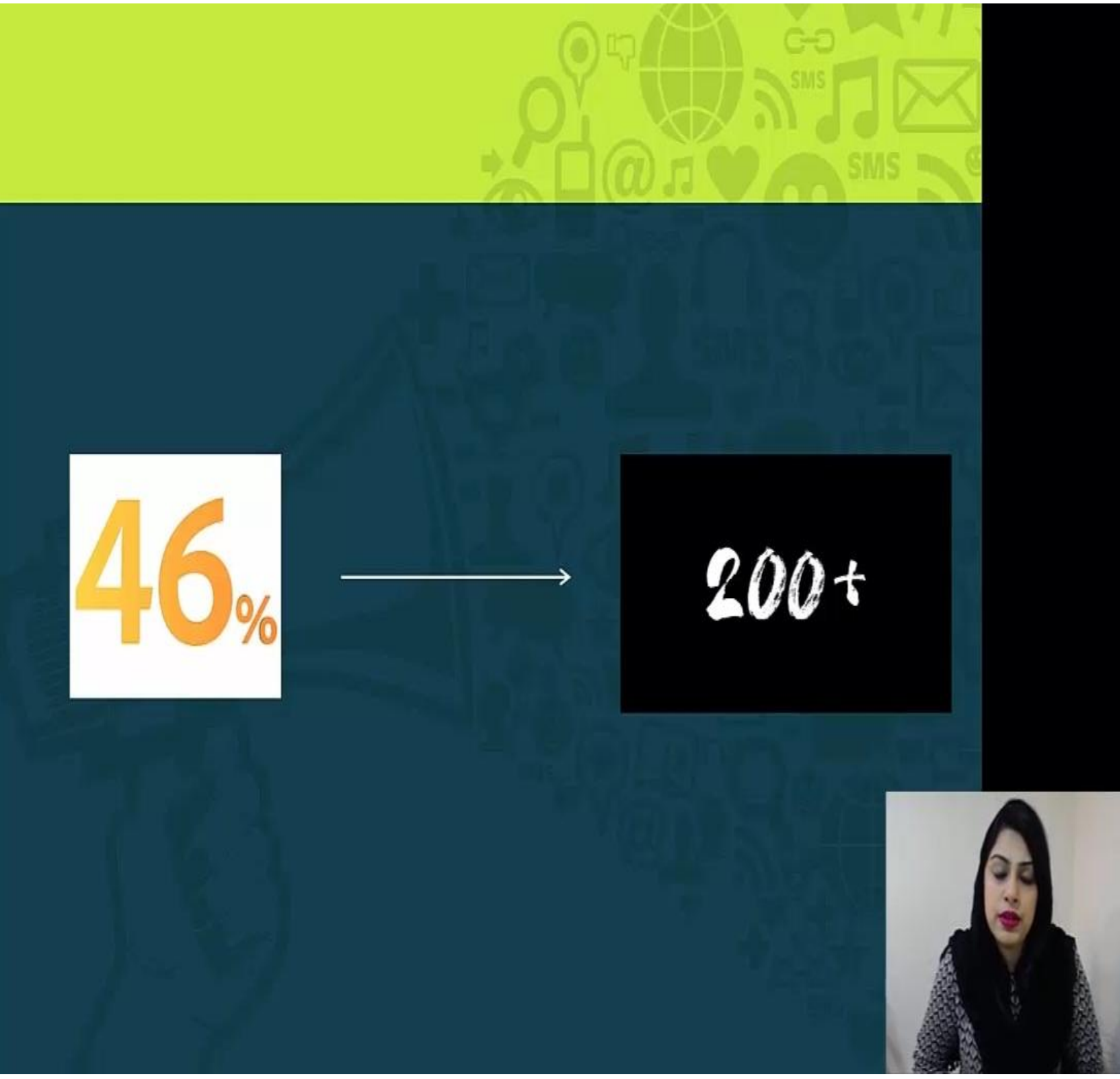
growth in **"near me"** mobile searches that contain a variant of **"can I buy"** or **"to buy"** over the last two years.



Micro moments






46%
200+


46%
facebook

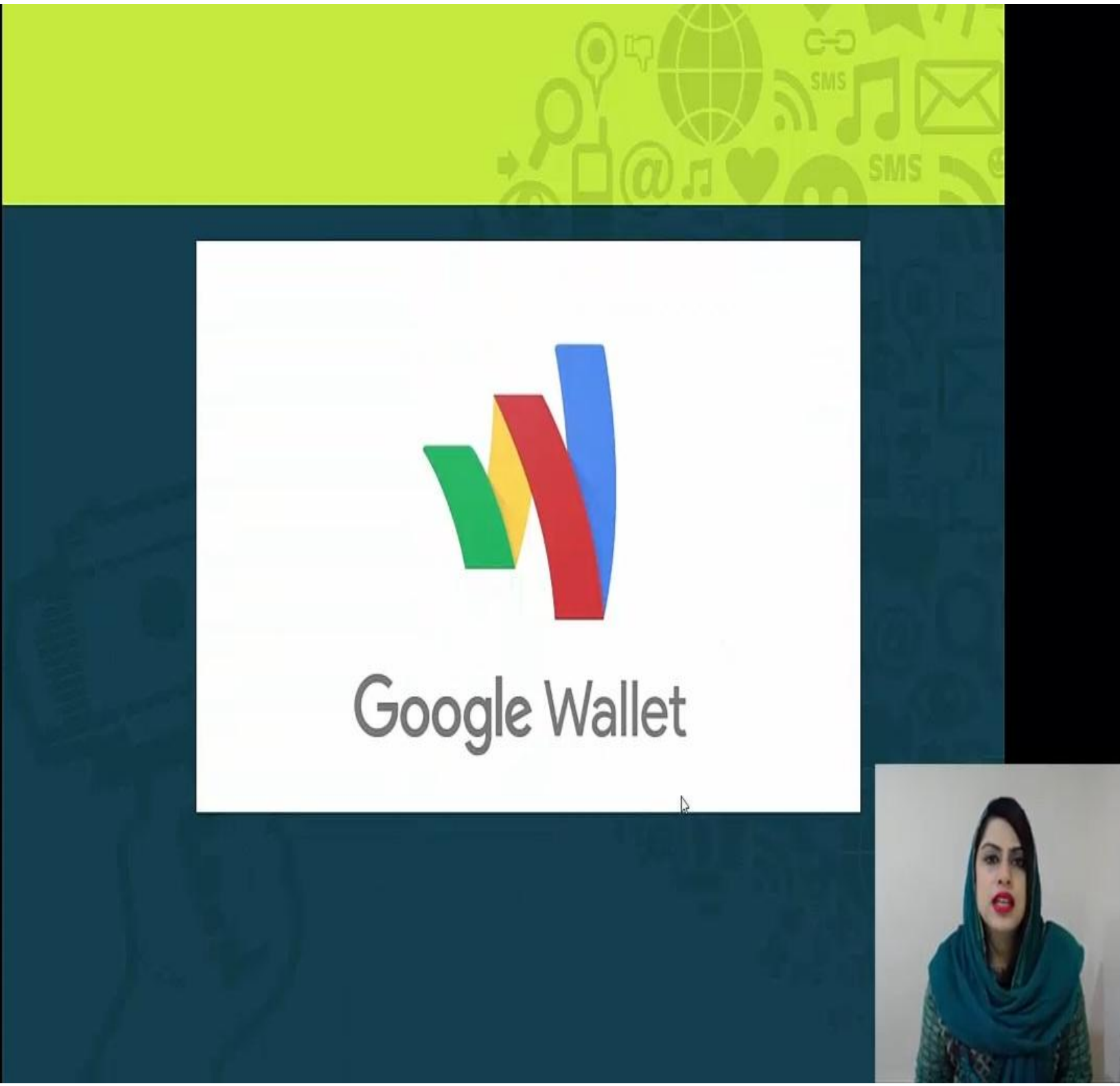
Characteristics of millennials

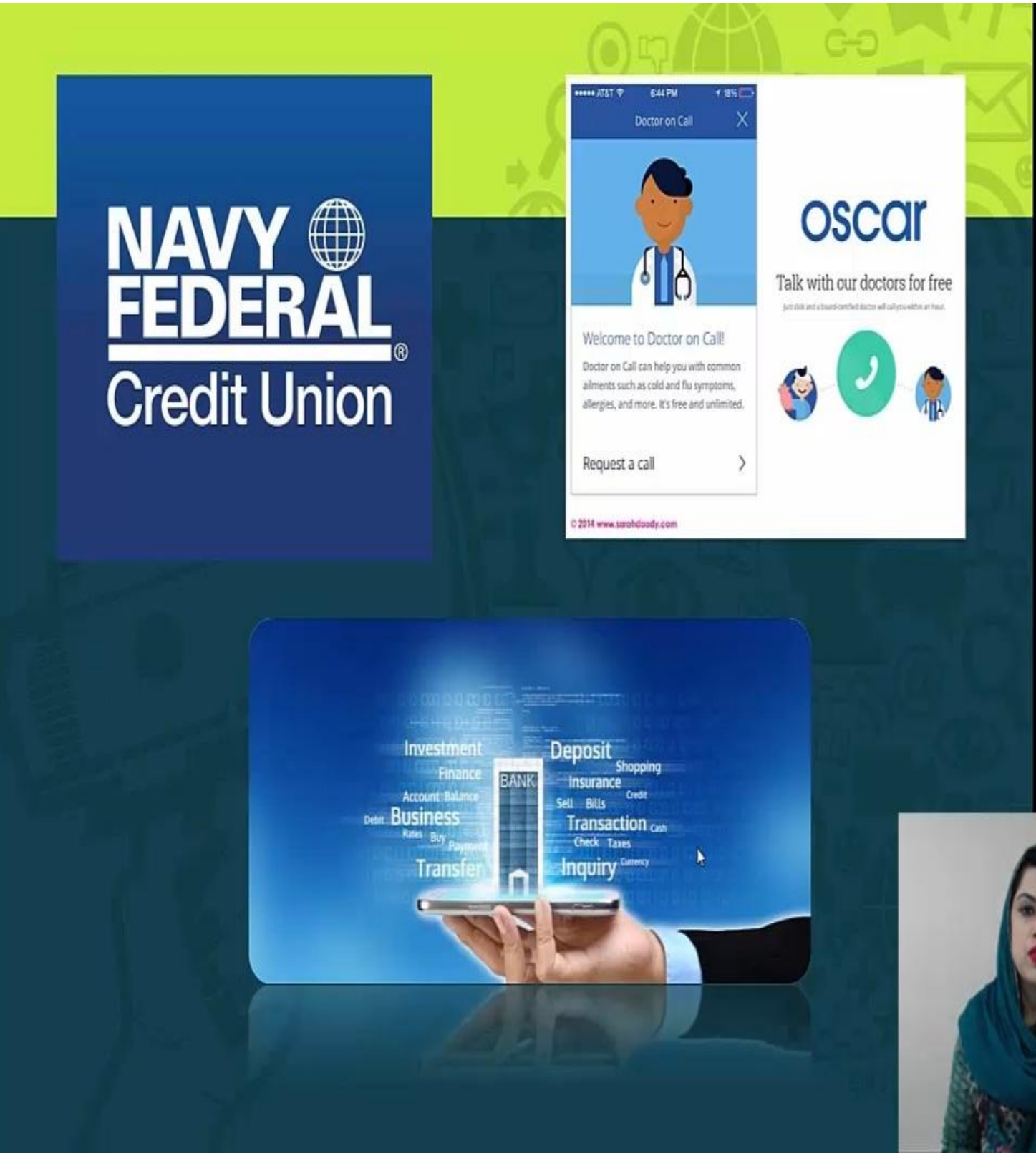
- More educated
- Buy products and services online.
- More social
- CHANGED views regarding businesses
- Most of the milennials in U.s as well in Pakistan are running their own small businesses enterprises
- Use smartphones
- Are considered as more innovative in jobs




How businesses need to reshape
(International perspective)


New Transaction
Request
Chris M paid mike m
Like Comment
Zoe M paid Hanna K
Vagmo shirt size small
Like Comment
Erin B paid Desi C
I don't have any more money but I want u to own that shirt
Like Comment
Alisa K paid Carson H
Like Comment
Leslie s paid Nereida L
Like Comment
Jill D paid Francisco R
(Matt Davies)
venmo
Send money and make purchases.


SMS
SMS
Google Wallet


NAVY FEDERAL
Credit Union
Doctor on Call
Welcome to Doctor on Call!
Doctor on Call can help you with common ailments such as cold and flu symptoms, allergies, and more. It's free and unlimited.
Request a call
oscar
Talk with our doctors for free
© 2014 www.sarahdoody.com
Investment
Finance
Account Balance
Debit
Business
Rates
Buy
Payment
Transfer
BANK
Deposit
Shopping
Insurance
Credit
Sell
Bills
Transaction
Cash
Check
Taxes
Inquiry
Currency


Buttercream
Cakes and Cupcakes
Tandoors

Lamudi.pk






Tips of Doing
Business in Digital
Age


OPERATIONS
FINANCE & ADMIN
MARKETING & SALES
HR


1. Think MOBILE First
SMS
SMS
Log In
iMore

2. Have a Solid Digital Strategy









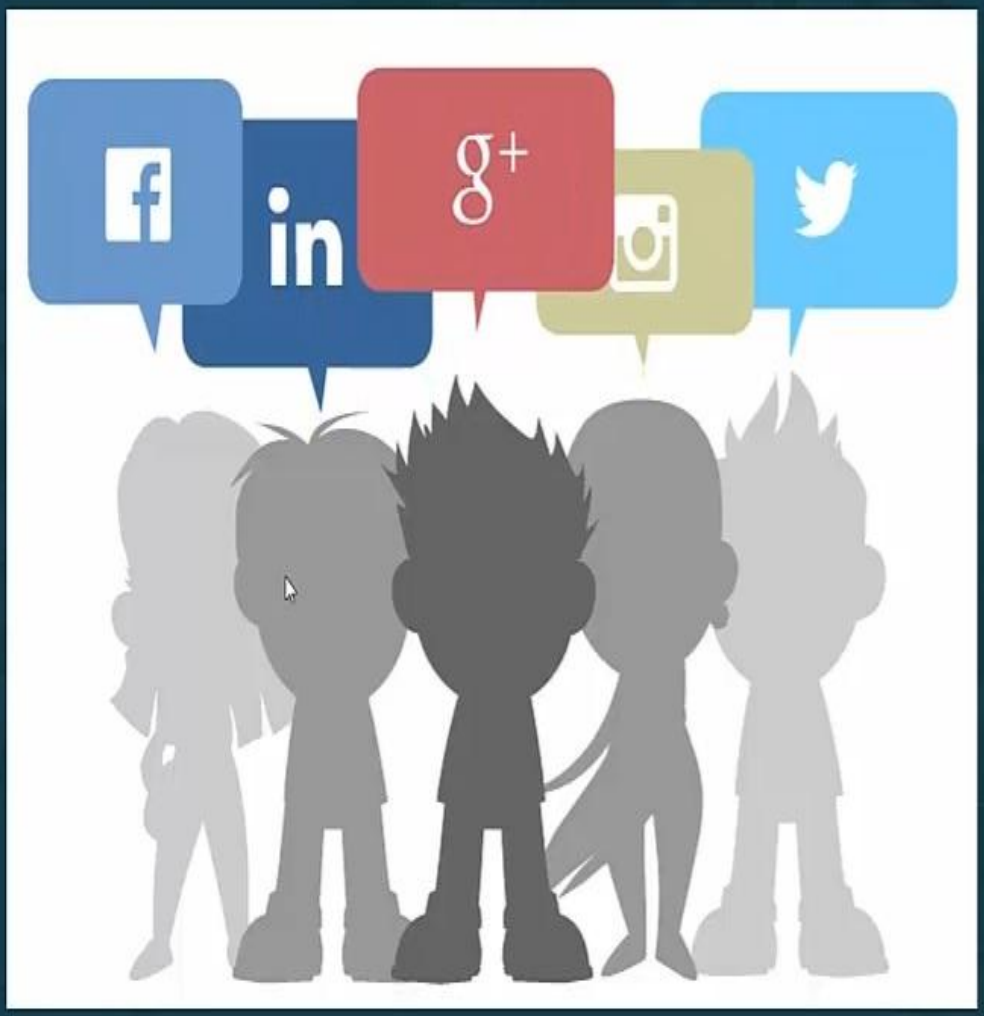
3. Think Long Term

- In order to truly judge a ROI on your digital marketing you need to understand that it does take time and requires a lot of work plus consistency.





4. Market Like it's one year ahead





5. Don't Fight the Trends





